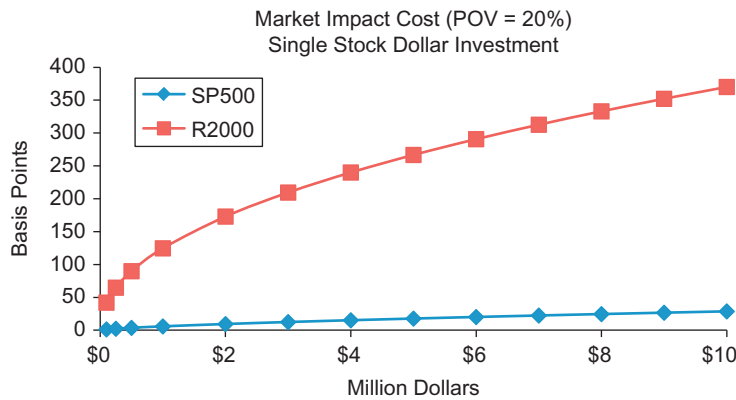
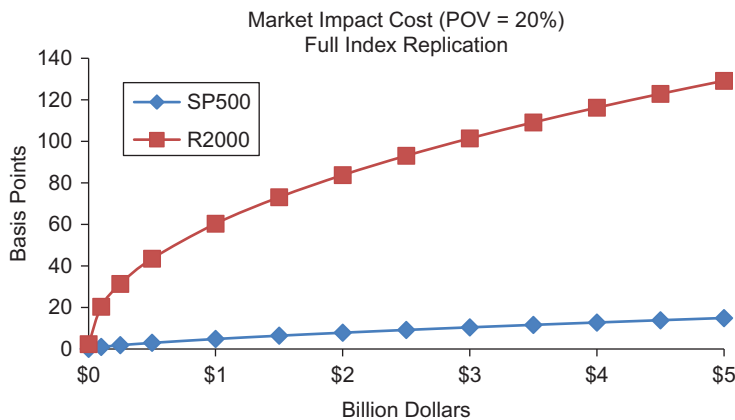




■ **Figure 11.2** Market Impact Cost Based on Dollar Investment Value.



■ **Figure 11.3** Market Impact Cost Based on Full Index Replication.

Table 11.5 shows the estimated market impact parameters for large cap and small cap stocks using data from 2011.

Acquisition and Liquidation Costs

An important issue that needs to be fully understood in the portfolio management process is that the cost to acquire a position is often lower than the cost to liquidate that same position. Earlier we mentioned that we have not found any true statistical difference between the cost to buy shares and the cost to sell shares. So how can this be true? First, the cost to buy and sell shares is the same when everything else is the same, such as volatility, market volumes, and incremental buying and selling